East African Portland Cement PLC

Holding life Together

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2020

The Directors of East African Portland Cement PLC are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2020

Condensed Consolidated Statement of Comprehensive Income for six months period ended:

	31 Dec 2020 Sh' 000	31 Dec 2019 Sh' 000
Revenue	1,389,511	1,483,572
Cost of Sales	(1,723,828)	(1,797,456)
Gross Loss	**(334,317)**	**(313,884)**
Other Operating Income	38,202	5,596
Administration and Selling Expenses	(540,541)	(1,074,954)
Loss from Operating Activities	**(836,656)**	**(1,383,242)**
Interest Income	126	1,282
Finance Costs	(269,457)	(253,019)
Loss Before Tax	**(1,105,987)**	**(1,634,979)**
Tax Credit	70,647	59,576
Loss After Tax	**(1,035,339)**	**(1,575,403)**
Other Comprehensive Income	12,647	(3,863)
Total Comprehensive Income	**(1,022,692)**	**(1,579,266)**
Earnings Per Share	(11.36)	(17.55)

Condensed Consolidated Statement of Cash Flows for the six months period ended:

	31 Dec 2020 Sh' 000	31 Dec 2019 Sh' 000
Cash flow Generated from Operations	(364,909)	(429,527)
Net Interest Paid	(5,022)	(21,089)
Cash Generated From Operating Activities	**(369,930)**	**(450,616)**
Net Cash Used in Investing Activities	**235,346**	**1,000,000**
Loan Restructuring	35,805	-
Receipt of Government Debt	-	176,035
Repayment of post import finance	-	(143,622)
Loan Repayment	-	(648,967)
Net Cash Used in Financing Activities	**35,805**	**(616,554)**
Effect of foreign currency translation	12,647	(3,863)
Net Decrease in Cash and Cash Equivalents	(98,779)	(67,170)
Cash and Cash Equivalents as at 1st July	81,524	(1,133,162)
Cash and Cash Equivalents as at 31 December	**(4,608)**	**(1,204,195)**

Condensed Consolidated Statement of Financial Position as at:

	31 Dec 2020 Sh' 000	30 June 2020 Sh' 000
Assets		
Non-current assets	32,336,319	32,762,649
Current assets	2,235,571	2,414,244
Total assets	**34,571,890**	**35,176,893**
Equity and Liabilities		
Share capital	450,000	450,000
Other Reserves	17,280,447	18,303,140
Total equity	**17,730,448**	**18,753,140**
Non current liabilities	216,973	179,985
Current liabilities	16,624,469	16,243,768
Total liabilities	**16,841,442**	**16,423,753**
Total equity and liabilities	**34,571,890**	**35,176,893**

Condensed Consolidated Statement of Changes in Equity for the six months period ended:

	31 Dec 2020 Sh' 000	30 June 2020 Sh' 000
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Asset Revaluation Reserve	1,181,352	1,181,351
Retained Earnings	15,401,980	16,437,320
Foreign Currency Translation Reserve	49,116	36,469
Total Equity	**17,730,448**	**18,753,140**

PERFORMANCE

Sales volumes in the period remained stable despite a challenging business environment resulting in a 6.5% decline of gross margin occasioned by a general decline in selling prices and fixed cost of sales structure.

The Company managed to reduce administrative and selling expenses from Kshs 1,074 Million to Kshs 541 Million yielding a net saving of Kshs 533 Million. This accrued from the ongoing business reorganization geared towards aligning manpower costs to current productivity levels. Consequently, loss before tax reduced from Kshs 1,635 Million to Kshs 1,106 Million registering an improvement of 32%.

The Company is at the tail end of terminating its corporate loan facility to eliminate the high finance costs through a balance sheet restructuring programme which will yield sufficient cash inflows for optimal working capital and also fund plant refurbishment to attain a competitive cost of production.

The Board remains optimistic that with the conclusion of the business reorganization initiatives, the Company will return to profitability.

DIVIDEND

The Directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

JANE JORAM

COMPANY SECRETARY

26 February 2021